



Napco International LLC

Napco International LLC ISO 9001:2015 General Purchase Order and Quality Requirements

The Purchase Order quality requirements below apply to all Suppliers and Sub-Tier Suppliers to Napco International LLC providing raw materials, manufactured components and products as well as performing material processing such as, but not limited to: heat treating; chemical processing; surface enhancements; nondestructive and destructive testing; coatings; welding; and nonconventional machining processes.

Acceptance of a Purchase Order from Napco International LLC binds the Supplier to the Terms and Conditions listed in the Purchase Order and the requirements listed in this document. The Supplier is not authorized to outsource any portion of the Purchase Order requirements unless specifically authorized by Napco International LLC and must flow down these requirements to any Sub-Tier Suppliers. Note that these requirements correspond with the requirements of Napco International LLC's customers and with the requirements of ISO 9001:2015.

a. The processes, products, and services to be provided including the identification of relevant technical data (e.g., specifications, drawings, process requirements, work instructions);

Refer to Napco International LLC's Purchase Order and/or the Acknowledgement provided by Supplier. For Purchase Orders specified as DFAR or DFARS (Defense Regulations Acquisition Regulations System), the following clauses are incorporated in their entirety:

- DFARS 252.225-7008 and
- DFARS 252.225-7009 and
- DFARS 252.225-7010 and
- DFARS 252.225-7012

The latest version of these can be found at <http://www.acq.osd.mil/dpap/dars/dfars/html/current/252225.htm>

b. The approval of products and services; methods, processes, and equipment; the release of products and services;

All Certifications provided must be signed.

Each shipment must be accompanied by one legible copy of a statement of conformance unless otherwise noted in the Purchase Order. A Certificate of Conformance (C of C), supplied with the shipment must provide at a minimum: Supplier name, part number, purchase order number, quantity of parts, engineering revision, serial numbers (if applicable), and title and signature of authorized Supplier representative.

- Material certifications shall show quantitative analysis of each element and physical testing as required by specifications referenced. Certifications must reference all related specifications required by a drawing and list full chemical/physical properties and source.
- Certification of heat treatment must show the type of treatment and specifications, hardness range, percentage of parts tested, tensile test results (as applicable by part), type of test performed, specifications and any other information required by the drawing/specifications. A laboratory performing a test shall be identified and any certifications signed by tester. Name of heat treat Supplier must be shown.





Napco International LLC

Napco International LLC ISO 9001:2015 General Purchase Order and Quality Requirements

- Passivation Certificate of Conformance must reference the process specification used. Magnetic Particle Inspection/Penetrant Inspection Certificates shall reference specifications used, number of pieces tested, with results and signed by a certified tester and must indicate level to which it is certified.

Traceability for Raw Material is required and shall be retained and provided to Napco International LLC as documented in the purchase order or if requested.

c. Competence, including any required qualification of persons;

Supplier will ensure that employees and people working on its behalf are competent and trained in accordance with the requirements of ISO 9001:2015.

d. The Supplier's interactions with Napco International LLC;

In addition to the other requirements recorded within this document, Suppliers shall hold all information received from Napco International LLC in confidence and no third-party request for information will be authorized unless approved in writing, by Napco International LLC.

e. Control and monitoring of Supplier's performance to be applied by Napco International LLC;

Napco International LLC will score Suppliers based on Quality, Delivery, and/or Service. Suppliers will be issued corrective actions as warranted. Suppliers with a high risk for quality or delivery without corrective actions in a single quarter will be reviewed at Management review meetings for increased action at Management's discretion. Any outcomes will be documented in Management Review Meeting Minutes. Suppliers that fail to perform in these areas may receive further Corrective Actions and may be considered for probation or removal from Napco International LLC's Approved Supplier List.

f. Verification or validation activities that Napco International LLC, or its customers, intends to perform at Supplier's premises;

Napco International LLC and its customers reserve the right to perform verification and/or validation activities at the Supplier's premises.

g. Design and development control;

Design and development control do not apply to Napco International LLC's Suppliers.

h. Special requirements, critical items, or key characteristics;

As per the requirements of ISO 9001:2015, Supplier is responsible for the validation, and periodic revalidation of the ability to achieve planned results of the processes for production and service provision, where the resulting output cannot be verified by subsequent monitoring or measurement.





Napco International LLC

Napco International LLC ISO 9001:2015 General Purchase Order and Quality Requirements

Nadcap stands for National Aerospace and Defense Contractors Accreditation Program. Nadcap's membership consists of "Prime Contractors" who coordinate with aerospace accredited suppliers to develop industry-wide audit criteria for special processes and products. The Nadcap Program is administered by the Performance Review Institute (PRI). Information on Nadcap requirements are found at <https://www.eauditnet.com/eauditnet/ean/user/login.htm>.

Suppliers supplying product with special processes listed with processing specifications listed on the blueprint and covered under Nadcap requirements are required to be Nadcap certified or use a Nadcap approved supplier. If indicated in the Purchase Order that a NADCAP approved Supplier is required, the Supplier must not perform any work or process any part if they are not NADCAP approved. Should a Supplier have a change to their NADCAP certification or accreditation, the Supplier MUST notify Napco International LLC per the terms of the NADCAP requirements.

i. Test, inspection, and verification (including production process verification);

For calibration Purchase Orders, all gauges and instruments must be calibrated using standards whose accuracies are traceable to the National Institute of Standards and Technology, the General Conference of Weights and Measures, or fundamental or natural physical constants. All provided calibration certifications must specifically state this traceability. Supplier will maintain a quality/inspection system that will ensure all goods and services conform to contract requirements whether manufactured or processed by Supplier or procured from Sub-Tier Suppliers and that fully complies with the requirements of ISO 9001:2015.

j. The use of statistical techniques for product acceptance and related instructions for acceptance by Napco International LLC;

The Supplier will use a C=0 sampling plan with an AQL of 1 or 100% inspection, unless otherwise specified or agreed upon in writing by Napco International LLC.

k. The need to:

– Implement a quality management system

When specifically requested by Napco International LLC in writing, Supplier will maintain a quality system in compliance to recognized Quality Management Systems and/or approved by Napco International LLC.

– Use customer-designated or approved external providers, including process sources (e.g., special processes);

When required by Napco International LLC or by Napco International LLC's customers, Suppliers will use customer-specified sources.

– Notify Napco International LLC of nonconforming processes, products, or services and obtain approval for their disposition;

Napco International LLC will not accept Supplier product that does not meet engineering drawing and/or Purchase Order requirements. Supplier product discovered after shipment by the Supplier to be nonconforming to any engineering drawing and/or Purchase Order requirement shall be immediately disclosed to Napco International LLC upon discovery,





Napco International LLC

Napco International LLC ISO 9001:2015 General Purchase Order and Quality Requirements

including but not limited to quantity shipped, date shipped, and the extent of the nonconformance. Suppliers that receive notification of Nonconforming product shall take appropriate action to contain the nonconforming condition and prevent it from occurring again. The Supplier will be notified if formal Corrective Action is required to be submitted to Napco International LLC. The response shall be submitted within 1 week of issue or a time frame agreed upon between Napco International LLC and the Supplier. Errors with paperwork shall be resolved within 24 hours.

– Prevent the use of counterfeit parts (see 8.1.4);

To prevent the purchase of counterfeit or suspect/unapproved products and to ensure product identification and traceability (and for other reasons), Supplier will institute controls that include the requirement of Material Certificates, Certificates of Conformity, and/or other supporting documentation as is appropriate. Material and part substitutions are not allowed.

– Notify Napco International LLC of changes to processes, products, or services, including changes of their external providers or location of manufacture and obtain Napco International LLC's approval;

Supplier will notify Napco International LLC of any change in ownership, management, or location and are subject to re-survey and approval. Supplier will notify Napco International LLC of any product or process changes or changes in approval status that affect Napco International LLC's product and are subject to re-survey and approval.

– Flow down to external providers applicable requirements including customer requirements;

Suppliers shall flow-down to Sub-Tier Suppliers the applicable requirements as required by the purchase order either specifically or by reference.

– Provide test specimens for design approval, inspection/verification, investigation, or auditing;

When requested by Napco International LLC or its customers, Supplier will provide test specimens for inspection/verification, investigation and/or auditing purposes.

– Retain documented information, including retention periods and disposition requirements;

Unless otherwise specified on the Purchase Order, the latest specification revision in effect at the time the lot of raw material/parts was originally manufactured or processed shall apply. In the event a document has been superseded, the latest revision of the superseding document shall apply. All certifications, test reports, and inspection reports, as well as receiving inspection, in process inspection, final inspection, and calibration records shall be retained for a minimum of ten years, unless otherwise specified by Napco International LLC. These records will be made available to Napco International LLC, Napco International LLC's customers, or regulatory agency upon request.

– Prevent Foreign Object Debris

Supplier is required to establish and maintain a Foreign Object Debris (FOD) prevention program that employs appropriate housekeeping practices to assure timely detection and removal of residue/debris generated, during operations





Napco International LLC

Napco International LLC ISO 9001:2015 General Purchase Order and Quality Requirements

and normal daily tasks.

- I. The right of access by Napco International LLC, Napco International LLC's customer, and regulatory authorities to the applicable areas of facilities and to applicable documented information, at any level of the supply chain;**

Napco International LLC and Napco International LLC's customers reserve the right to perform an on-site inspection of the Supplier's facility or visit the facility. Napco International LLC will give reasonable notification to the Supplier prior to the on-site inspection. The on-site inspection may include surveillance of the Supplier's facilities, procedures, production methods, processes, and the Supplier's Quality System. The Supplier shall furnish, at no cost, the necessary data as required by applicable drawings, Purchase Order, specifications, and inspection instructions to facilitate the on-site inspection.

- m. Ensuring that persons are aware of their contribution to product or service conformity; their contribution to product safety; the importance of ethical behavior.**

Supplier must be committed to the highest standards of ethics and business conduct. Supplier must comply with the law, honor commitments, act in good faith, and be accountable. Supplier must strive to maintain full compliance with all laws and regulations applicable to the operation of the business and customer relationships. Supplier must not offer, promise, authorize, or provide, directly or indirectly, anything of value (including business gifts or courtesies) with the intent or effect of inducing anyone to engage in unfair business practices. Supplier will avoid involvement in activities that may be perceived as a conflict-of-interest. Supplier will respect the legitimate proprietary rights and intellectual property rights of customers and Suppliers and take proper care to protect sensitive information, including confidential, proprietary and personal information. Supplier will support product safety by ensuring robust management of special requirements, critical items and key characteristics. If there are concerns with respect to product safety, Supplier will communicate them to Napco International LLC. If there is a concern at the Supplier's premises with respect to safety during the manufacturing of the product, Supplier will notify its own employees of the concern and whenever possible, mitigate the concern.

Supplier will ensure that employees and people working on its behalf are aware of:

- ☐ Their contribution to product or service conformity
- ☐ Their contribution to product safety
- ☐ The importance of ethical behavior

